Special securities issued to POLIF are also a relic of the past. Earlier, many retirement and long-term savings institutions like EPFO and POLIF were allowed to invest in special government securities. EPFO has moved to investing in government securities through the market mechanism. This also gives EPFO the full flexibility to make investments at the market-determined rate and sell government securities when considered appropriate. POLIF special securities should also be paid off and POLIF asked to make appropriate investments through the market.

Special securities in the form of oil bonds and fertilizer bonds have not been issued after 2009. The oil bonds and fertilizer bonds would get paid off at the beginning of financial year 2021–22. No special action needed to be taken for the same.

The two kinds of special securities issued by the NDA government needed to be dealt with. FSBs, or fully serviced bonds, which began to be issued from financial year 2016–17 have not been proposed to be issued for financial year 2021–22. The last bunch of such securities were issued in 2020–21. While there is nothing that stops the Government of India from issuing FSBs again as these were not subject to Parliamentary approvals, it is expected that these would not be issued. The government is now quite comfortable in enlarging the fiscal deficit.

The special securities issued to banks and other financial institutions for financing their capitalization are a drag on the Government of India and also constrain the ability of banks to manage their treasury. It will be advisable if these special securities are swapped with regular market securities by the Government of India. This will lead to a nominal increase in fiscal deficit one time, which should not matter as there would be no increase in the outstanding debt and liabilities of the Government of India.